



Q.1 The necessary condition for equilibrium position of a firm is:

- A. $MC > MR$
- B. $MC = MR$
- C. $MC > \text{Price}$
- D. $MC = AC$

Q.2 Which of the following is the formula to calculate marginal revenue of a firm?

- A. Price x Quantity
- B. Total revenue/Quantity
- C. Change in quantity/Change in total revenue
- D. Change in total revenue/Change in quantity

Q.3 Which of the following is the formula to calculate total revenue of a firm?

- A. Change in quantity / Change in price
- B. Price / Quantity
- C. Quantity / Price
- D. Price x Quantity

Q.4 Under perfect competition, marginal revenue and average revenue curves:

- A. Are different
- B. Are parallel
- C. Are the same
- D. Intersect each other

Q.5 What happens to an existing firm's demand curve in monopolistic competition as new firms enter?

- A. It shifts leftward.
- B. New entrants will not affect an existing firm's demand curve.
- C. It becomes horizontal.
- D. It shifts rightward.

Q.6 The addition to the total revenue brought about by the sale of an additional unit of the product is:

- A. Marginal cost
- B. Average revenue
- C. Marginal revenue
- D. Total revenue



Q.7 Marginal revenue of a monopolist is always:

- A. Increases with output
 - B. Greater than price
 - C. Less than price
 - D. Equal to price
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Q.8 A firm under perfect competition is considered as:

- A. Sole producer
 - B. Price taker
 - C. Price breaker
 - D. Price maker
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Q.9 In case of perfect competition, the shape of long-run supply curve of an increasing cost industry is always:

- A. Negatively sloped
 - B. Positively sloped
 - C. Horizontal
 - D. Vertical
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Q.10 Which of the following is NOT a characteristic of monopolistic competition?

- A. Entry is blocked
 - B. Product Differentiation
 - C. Relatively Large number of Sellers
 - D. Relatively Easy Entry
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